

Executive Summary – Growth Insight Report

Objective:

This analysis identifies the key drivers of customer retention using a public dataset reframed as a subscription model. The goal is to deliver actionable insights for business growth.

Key Questions:

1. Does membership tier influence retention?
2. Do customer segments impact retention differently?
3. Can early spending behavior predict retention?

Key Findings:

- Premium users retain at significantly higher rates (63% vs 24%).
- Segment B users retain far more than Segment A (74% vs 19%).
- Retained customers spend ~2x more early (\$48 vs \$23).

Critical Insight:

Retention is driven by three independent factors: tier, segment, and early spending behavior.

Recommendations:

1. Increase Premium upgrades through targeted upsell strategies.
2. Investigate and fix the Segment A retention gap.
3. Use early spend as a risk signal to identify churn-prone users.

Bottom Line:

Retention is not random. Focus on high-tier, high-spend, and high-performing segments to maximize growth.